

BBF4302 TREASURY MANAGEMENT

Introduction to Treasury Management

Step 1.1 · What treasury is, what it does, and how it works

Bookless · bookless.framer.ai

1.1

FOUNDATIONS

What is Treasury?

Treasury is the financial centre of an organisation. Its core job is to protect the company's financial assets, manage its liabilities, and make sure cash is available when it's needed.

Day-to-day, that means keeping suppliers paid, meeting debt obligations, and ensuring surplus cash earns rather than sits idle. The treasury team executes decisions made by senior management – they don't set strategy, they carry it out. And they have a major role in identifying and reducing financial risk.

The structure of a treasury department varies by company size, industry, and organisational complexity.

CORE CONCEPTS

The Three Finance Decisions

Every finance function operates within three broad decision areas:

1. Investment Decision

How does the company deploy its available resources? This covers long-term project commitments, working capital investment (stock, debtors), and internal or external investment decisions.

2. Financing Decision

How does the company raise the money it needs? This means finding the right mix of debt and equity, understanding the cost of funds, managing capital structure, and handling risk and hedging.

3. Dividend Policy

What happens to profits? How much is paid out to shareholders and how much is retained to fund growth. Dividend levels directly affect the company's market value.

SCOPE

The 11 Main Functions of Treasury

The treasurer's responsibilities go well beyond holding cash:

#	Function	What it means
1	Cash forecasting	Pulls short and long-term forecasts from all subsidiaries

2	Working capital mgmt	Monitors working capital levels and trends
3	Cash management	Keeps sufficient cash available for operations at all times
4	Investment management	Invests surplus cash appropriately
5	Risk management	Manages interest rate and FX exposure
6	Management advice	Advises leadership on market conditions
7	Credit rating relations	Liaises with agencies when issuing marketable debt
8	Bank relationships	Manages banking fees, terms, and ongoing communications
9	Fund raising	Maintains investor relationships for capital raising
10	Credit granting	Grants credit to customers on behalf of the business
11	Other activities	M&A; support, company insurance, and similar matters

TASK LEVELS

Strategic, Tactical & Operational

Treasury work happens at three levels. Knowing which is which matters in the exam.

Level	Focus	Examples
Strategic	Long-term policy	Capital structure, dividend policy, capital raising, investment returns
Tactical	Medium-term decisions	Cash investment management, hedging currency or interest rate risk
Operational	Daily execution	Transmitting cash, placing surplus funds, bank communications

Exam tip: classify by time horizon. Strategic = long-term policy. Tactical = medium-term decisions. Operational = daily execution.

STRUCTURE

Cost Centre vs Profit Centre

How a company classifies its treasury function changes how it's managed and measured.

Cost Centre (Most Common)

Treasury is treated as a support function — not expected to generate profit, just manage costs. The risk here is that management fixates on what treasury costs rather than what it contributes, which can starve the function of budget and staff.

Profit Centre

Used by companies heavily involved in global finance, FX trading, or commodities. Treasury actively generates income through trading, hedging, or internal service pricing.

	Advantages	Disadvantages
Profit Centre	Business units pay market rates — cost transparency improves. Treasurer incentivised to operate efficiently.	Temptation to speculate. Internal disputes over charges. Higher admin costs.

▣ ▣ Nick Leeson at Barings Bank (1995) is the exam case. He ran treasury-style operations with no oversight, hid losses in a secret account, and brought down the bank. The lesson: unchecked profit-centre thinking without controls is catastrophic.

CONTROLS

Treasury Controls

Because treasury handles large sums, controls are non-negotiable. Six to know:

1. Segregation of Duties

Front office (dealing/trading) must be separate from back office (confirmation and settlement). No one person initiates and confirms their own transactions.

2. Delegation of Authority

The right level of decision-making must sit with the right people. High-risk decisions require senior sign-off; routine ones should not.

3. Limits

Caps on transaction size, type, or instrument. Prevents staff from investing in instruments with excessive risk of capital loss.

4. Approvals

All trades approved by a senior manager. A separate person reconciles and accounts for every transaction.

5. Internal Audits

Scheduled audits match actual transactions against company policy – catching drift before it becomes a problem.

6. Automation / STP

Straight-Through Processing removes manual steps from routine transactions, reducing errors and fraud opportunities.

STRUCTURE

Centralised, Decentralised & Hybrid

How treasury is structured geographically depends on how the business operates.

Structure	How it works	Advantage	Disadvantage
Centralised	All operations run from HQ	Stronger controls, economies of scale, lower costs, tax advantages for MNCs	Field offices lose autonomy; local knowledge not captured
Decentralised	Subsidiaries manage their own treasury under group guidelines	Local staff know local banking, regulations, language and customs	Duplication of effort and resources across units
Hybrid	Regional centres – centralised within regions, decentralised across them	Combines central control with local knowledge	More complex to set up and manage

The hybrid model is increasingly common. Modern Treasury Management Systems allow local teams to input data centrally – giving HQ oversight without removing local responsiveness.

REFERENCE

Key Terms

Term	Definition
Treasury	The function responsible for managing an organisation's financial assets, liabilities, and cash
Cost centre	A department measured by costs incurred, not profits generated
Profit centre	A department expected to generate income through trading or internal pricing

Segregation of duties	Splitting trading and confirmation roles between different staff to prevent fraud
Delegation of authority	Assigning decision-making power to appropriate levels within the treasury team
STP	Straight-Through Processing – automated transaction processing with no manual intervention
Centralised treasury	All treasury operations managed from a single location, typically HQ
Decentralised treasury	Subsidiaries manage their own treasury within group-wide guidelines
Hybrid treasury	Regional centres combining aspects of centralised and decentralised structures

OUTCOMES

What You Should Now Be Able To Do

1. Define the treasury function and explain its role within an organisation
2. Classify treasury activities as strategic, tactical, or operational
3. Compare cost centre and profit centre structures, with advantages and disadvantages of each
4. List the six main treasury controls and explain why segregation of duties matters
5. Distinguish between centralised, decentralised, and hybrid treasury structures

Next: 1.2 – Treasury Systems & Operations

JOIN THE DISCUSSION

Ask questions, share your answers – [open #tm-operations in Slack](#)